HOWDEN JOINERY LIMITED

DIRECTORS' REPORT AND FINANCIAL STATEMENTS

FOR THE 52 WEEKS ENDED 24 DECEMBER 2005

REGISTERED NUMBER : 526923

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HOWDEN JOINERY LIMITED

DIRECTORS' REPORT

The directors have pleasure in submitting their report and the audited financial statements of the Company for the year ended 24 December 2005.

PRINCIPAL ACTIVITY

The principal activity of the Company is the sale of kitchen cabinetry and joinery products to local builders.

PROFITS AND DIVIDENDS

The profit for the financial period as shown in the profit and loss account on page 4 amounted to £22,466,000 *(2004: £61,175,000)*. The directors recommend that 177p per share dividend be paid *(2004: nil)*.

REVIEW OF THE BUSINESS AND FUTURE PROSPECTS

The directors are satisfied with progress of the business. During the year, the company incurred an exceptional cost for the closure of its franchise operation in the US as disclosed in note 5. No other significant costs are expected to be incurred in relation to this closure in future. The directors see a good year ahead with up to 40 new depots due to be opened, some depots due to be extended and new product ranges being introduced in 2006.

DIRECTORS

The directors of the Company who served throughout the period, except as noted were:

J Hancock (resigned 03/10/05)
M Ingle
CA Youell
K Sims
M Robson (appointed 12/04/05)

No director held any beneficial interest in the shares of the Company or any other Group company at any time during the period, with the exception of the following:

Beneficial interests of the directors, including family interests, in the share capital of the ultimate holding company, MFI Furniture Group Plc, at 24 December 2005 and 25 December 2004 are disclosed in the accounts of that company except those set out below.

	At 24 December 2005 Ordinary shares of 10p each		At 25 December 2004 Ordinary shares of 10p each	
	Shares in issue	Share options	Shares in issue	Share options
CA Youell	Nil	432,286	Nil	467,216
K Sims	35,140	462,163	14,344	383,612

The options outstanding are exercisable at prices between 42p and 180p.

K Sims also held a beneficial interest in the MFI Sharesave scheme in common with all members of the scheme. At the year end, the scheme held 3,164,167 shares *(2004:4,519,219 shares)*.

The Directors also held a beneficial interest in the All Employee Share Incentive Plans in common with all members of the scheme. At the year end, the scheme held 1,770,888 shares *(2004: 2,249,234 shares)*.

Under the terms of the Senior Managers Co-Investment Plan, CA Youell had 18,108 conditionally held shares with MFI Furniture Group Plc granting 27,162 matching shares. Under the same plan, K Sims beneficially held 54,673 conditional commitment shares and 14,334 commitment shares with MFI Furniture Group Plc granting 113,258 matching shares. The Senior Managers Co-investment Plan offers 1 ½ matching shares for every share held in the plan by a senior manager, conditionally vesting after three years.

SUPPLIER PAYMENT POLICY

It is the Company's policy, in relation to all its suppliers, to settle its terms of payment when agreeing the terms of the transaction and to abide by those terms provided that it is satisfied that the supplier has provided the goods or services in accordance with agreed terms and conditions. The Company does not follow any code or standard on payment practice, but it is the Company's policy to pay all its suppliers within 30 days of the end of the month in which it receives the goods or services. Payments are actually made by another group company, MFI UK Limited. Information regarding creditor days ratios can be found in that company's accounts.

DISABLED EMPLOYEES

Applications for employment by disabled persons are always fully considered, bearing in mind the aptitudes of the applicant concerned. In the event of members of staff becoming disabled every effort is made to ensure that their employment with the company continues and that appropriate training is arranged. It is the policy of the company that the training, career development and promotion of disabled persons should, as far as possible, be identical to that of other employees.

EMPLOYEE CONSULTATION

The company places considerable value on the involvement of its employees and has continued to keep them informed on matters affecting them as employees and on the various factors affecting the performance of the group. This is achieved through formal and informal meetings, the company magazine and a special edition for employees of the annual financial statements. Employee representatives are consulted regularly on a wide range of matters affecting their current and future interests.

POST BALANCE SHEET EVENT

The MFI group has refinanced its medium term debt. See details in Note 21.

AUDITORS

Pursuant to a shareholders' resolution passed during the year, the Company is not obliged to re-appoint its auditors annually and Deloitte & Touche LLP will therefore continue in office.

REGISTERED OFFICE

The company's registered office is Southon House, 333 The Hyde, Edgware Road, London, NW9 6TD.

STATEMENT OF DIRECTORS' RESPONSIBILITIES

United Kingdom company law requires the directors to prepare financial statements for each financial period, which give a true and fair view of the state of affairs of the Company as at the end of the period and of the profit or loss of the Company for that period. In preparing those financial statements the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

HOWDEN JOINERY LIMITED

DIRECTORS' REPORT (Cont'd)

The directors are responsible for keeping proper accounting records which disclose with reasonable accuracy at any time the financial position of the Company and to enable them to ensure that the financial statements comply with the Companies Act 1985. They are also responsible for the system of internal control, safeguarding the assets of the company and hence for taking responsible steps for the prevention and detection of fraud and other irregularities.

By Order of the Board

G M Hughes
Secretary

10 August 2006

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF HOWDEN JOINERY LIMITED

We have audited the financial statements of Howden Joinery Ltd for the 52 week period ended 24 December 2005 which comprise the profit and loss account, the balance sheet, and the related notes 1 to 21. These financial statements have been prepared under the accounting policies set out therein.

This report is made solely to the Company's members, as a body, in accordance with section 235 of the Companies Act 1985. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditors' report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Respective responsibilities of directors and auditors

The directors' responsibilities for preparing the financial statements in accordance with applicable United Kingdom law and accounting standards (United Kingdom Generally Accepted Accounting Practice) are set out in the statement of directors' responsibilities.
Our responsibility is to audit the financial statements in accordance with relevant United Kingdom legal and regulatory requirements and International Standards on Auditing (UK and Ireland).

We report to you our opinion as to whether the financial statements give a true and fair view, in accordance with the relevant financial reporting framework, and are properly prepared in accordance with the Companies Act 1985. We also report to you if, in our opinion, the directors' report is not consistent with the financial statements, if the Company has not kept proper accounting records, if we have not received all the information and explanations we require for our audit, or if information specified by law regarding directors' remuneration and transactions is not disclosed.

We read the directors' report for the above 52 week period and consider the implications for our report if we become aware of any apparent misstatements or material inconsistencies with the financial statements.

Basis of audit opinion

We conducted our audit in accordance with International Standards on Auditing (UK and Ireland) issued by the Auditing Practices Board. An audit includes examination, on a test basis, of evidence relevant to the amounts and disclosures in the financial statements. It also includes an assessment of the significant estimates and judgements made by the directors in the preparation of the financial statements and of whether the accounting policies are appropriate to the Company's circumstances, consistently applied and adequately disclosed.

We planned and performed our audit so as to obtain all the information and explanations which we considered necessary in order to provide us with sufficient evidence to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or other irregularity or error. In forming our opinion, we also evaluated the overall adequacy of the presentation of information in the financial statements.

Opinion

In our opinion the financial statements give a true and fair view, in accordance with United Kingdom Generally Accepted Accounting Practice, of the state of the Company's affairs as at 24 December 2005 and of its profit for the 52 week period then ended and have been properly prepared in accordance with the Companies Act 1985.

Deloitte & Touche LLP

Deloitte & Touche LLP
Chartered Accountants and Registered Auditors
London

15 August 2006

HOWDEN JOINERY LIMITED
PROFIT & LOSS ACCOUNT
FOR THE 52 WEEKS ENDED 24 DECEMBER 2005

	NOTES	52 weeks to 24 Dec 2005			52 weeks to 25 Dec 2004		
		Before Exceptional Items	**Exceptional Items (note 5)**	**Total**	Before Exceptional Items	Exceptional Items	Total
		£000	**£000**	**£000**	£000	£000	£000
Turnover	1	**617,776**	**-**	**617,776**	559,133	-	559,133
Cost of sales		**(291,413)**	**-**	**(291,413)**	(270,242)	(300)	(270,542)
Gross profit		**326,363**	**-**	**326,363**	288,891	(300)	288,591
Selling and administrative costs		**(250,878)**	**740**	**(250,138)**	(202,987)	2,800	(200,187)
Operating profit		**75,485**	**740**	**76,225**	85,904	2,500	88,404
Exceptional Item - Loss on disposal of fixed assets		**-**	**(325)**	**(325)**	(136)	-	(136)
Exceptional Item – Closure of Operations		**-**	**(33,265)**	**(33,265)**	-	-	
Profit on ordinary activities before taxation	2	**75,485**	**(32,850)**	**42,635**	85,768	2,500	88,268
Tax on profit on ordinary activities	6	**(23,892)**	**3,723**	**(20,169)**	(26,343)	(750)	(27,093)
Profit for the financial period		**51,593**	**(29,127)**	**22,466**	59,425	1,750	61,175
Dividends	7	**(177,000)**	**-**	**(177,000)**	-	-	-
Amount transferred (from) / to reserves		**(125,407)**	**(29,127)**	**(154,534)**	59,425	1,750	61,175

The results for the 52 weeks ended 24 December 2005 and the prior period are derived from continuing operations and include exceptional costs of closing a franchise operation as disclosed in Note 5.

There are no recognised gains or losses in the current and the previous period other than those included in the profit and loss account.

The notes on pages 7 to 15 form part of these financial statements.

HOWDEN JOINERY LIMITED

BALANCE SHEET AT 24 December 2005

	NOTES	24 Dec 2005 £000	24 Dec 2005 £000	25 Dec 2004 £000	25 Dec 2004 £000
Fixed assets					
Tangible assets	8	25,718		25,095	
Investments	9	-		20,193	
			25,718		45,288
Current assets					
Stocks	10	54,823		56,819	
Debtors	11	179,173		1,074,250	
Cash at bank and in hand		11,765		12,324	
		245,761		1,143,393	
Current liabilities					
Creditors: amounts due within one year	12	(170,709)		(1,032,551)	
Net current assets			75,052		110,842
Provisions for liabilities and charges	13		-		(199)
Net assets			100,770		155,931
Capital and reserves					
Called up share capital	15		100,000		627
Profit and loss account	16		770		155,304
Equity shareholders' funds	16		100,770		155,931

Approved by the board of directors

on 10th August 2006.

CA Youell - Director

The notes on pages 7 to 15 form part of these financial statements.

1. ACCOUNTING POLICIES

The accounting policies summarised below have all been applied consistently throughout the current period and the preceding periods.

BASIS OF PREPARATION

The financial statements are prepared under the historical cost convention and in accordance with applicable United Kingdom accounting standards.

Under Financial Reporting Standard 1, the Company is exempt from the requirement to prepare a cash flow statement on the grounds that it is a wholly owned subsidiary undertaking and a consolidated cash flow statement is given in the financial statements of MFI Furniture Group Plc.

The financial statements include the results for the 52 week period ended 24 December 2005, being the Saturday nearest to the Company's accounting reference date of 31 December.

The Company is exempt from the requirement to prepare Group financial statements under s228 of the Companies Act 1985 since its results are included in the consolidated financial statements of its ultimate parent company, MFI Furniture Group Plc.

Accordingly these accounts present information about the company as an individual undertaking and not its group.

TURNOVER

Turnover represents the net value of goods and services sold to customers excluding value added tax. All turnover arises in the United Kingdom.

TANGIBLE FIXED ASSETS

Fixed assets are stated at cost net of accumulated depreciation. Depreciation is provided to write off the cost less any residual value of tangible fixed assets over their estimated useful lives as follows:

Equipment and machinery	4 – 10 years
Computer equipment, fixtures and fittings, plant and equipment	3 – 10 years

STOCKS

Stocks are valued at the lower of cost and net realisable value.

TAXATION

UK Corporation tax is provided at amounts expected to be paid (or recovered) using tax rules and laws that have been enacted or substantially enacted by the balance sheet date.

Deferred taxation is provided on a full provision basis, without discounting, on all timing differences which have arisen but not reversed at the balance sheet date.

Except where otherwise required by accounting standards no timing differences are recognised in respect of:

(a) property revaluation surpluses where there is no commitment to sell the asset; and
(b) gains on sale of assets where those assets have been rolled over into replacement assets.

LEASED ASSETS

Expenditure under operating leases is charged to the profit and loss account on a straight-line basis over the period of the lease.

1. ACCOUNTING POLICIES (Cont'd)

INVESTMENTS

Investments are stated at cost less any provision for impairment.

PENSIONS

The Company participates in the MFI Furniture Group Retirement Benefit Scheme. This is a defined benefit multi-employer scheme. The assets and liabilities of the scheme are held separately from those of the Group. The company is unable to identify its share of the underlying assets and liabilities of the scheme and accordingly accounts for the scheme as if it were a defined contribution scheme.
This is in line with the guidance in FRS 17 relating to group defined benefit pension schemes.

For defined contribution schemes the amount charged to the profit and loss account in respect of pension costs and other post-retirement benefits is the contributions payable in the year. Differences between contributions payable in the year and contributions actually paid are shown as either accruals or prepayments in the balance sheet.

2. PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION

The profit on ordinary activities before taxation is stated after charging:

	25 Dec 2005	25 Dec 2004
	£000	£000
Depreciation	**4,556**	4,061
Hire of plant and machinery – rentals	**4,405**	4,142
Rent payable on property	**17,067**	13,881
Loss on disposal of fixed assets	**325**	136
Auditors' remuneration	**49**	30

3. STAFF NUMBERS AND COSTS (INCLUDING DIRECTORS)

The average number of persons (full-time equivalent) employed by the Company during the period was as follows:

	24 Dec 2005	25 Dec 2004
	No.	No.
Depots	**3,679**	2,918
Head office	**205**	158
	3,884	3,076

The aggregate payroll costs of these persons were as follows:

	24 Dec 2005	25 Dec 2004
	£000	£000
Wages and salaries	**76,338**	62,936
Social security costs	**6,876**	5,488
Other pension costs	**11,972**	2,730
	95,186	71,154

4. REMUNERATION OF DIRECTORS

The emoluments of the directors were as follows:

	24 Dec 2005	25 Dec 2004
	£000	£000
Directors' emoluments	**1,067**	366
Pension costs	**50**	23
	1,217	389

The aggregate emoluments of the highest paid director in the year to 24 December 2005 were £755,000 (*2004: £183,779*) and Company pension contributions of £10,470 (*2004: £12,264*) were made on his behalf. Based on normal retirement age the accrued pension of the highest paid director, should he leave employment at the end of the financial year, is £37,100 (*2004: £57,800*).

5. EXCEPTIONAL ITEMS

(a) Operating

The exceptional income of £740,000 (*2004: £2,500,000 income)* in respect of share amortisation and associated National Insurance is included in the operating profit. The associated tax charge is £222,000 (*2004: £750,000).*

(b) Loss on disposal of fixed assets

The loss on disposal of fixed assets of £325,000 (2004: £136,000), represents net losses on disposal of plant and machinery, fixtures and fittings, and computer equipment. The associated tax credit is £23,037 (2004 :credit of £40,800)

(c) Closure of operations

In the Group's press release of 1 December 2005, the group announced it is to close its US pilot operation Howdens Millworks. A closure programme for the 20 depots is in place and the group expect trading to cease by April 2006 and operations to cease by June 2006. In accordance with FRS 3, we have disclosed the costs of closure (including the writedown of investment and provision for future losses) of £33,265,000, and have treated it as a post-operating exceptional item. The associated tax credit is £3,921,600.

6. TAX ON PROFIT ON ORDINARY ACTIVITIES

	24 Dec 2005	25 Dec 2004
	£000	£000
UK corporation tax	**21,271**	27,208
Adjustments relating to prior periods	**(7)**	(735)
Total current tax	**21,264**	26,473
Deferred taxation	**(1,095)**	620
Tax on profit on ordinary activities	**20,169**	27,093

6. TAXATION (continued)

Factors affecting current period corporation tax

	24 Dec 2005	25 Dec 2004
The taxation charge, as a percentage of profit on ordinary activities before exceptional items, is calculated at	**31.7%**	30.7%

The current period corporation tax charge is higher *(2004:lower)* than the standard rate of corporation tax in the UK (30%) for the following reasons:

	24 Dec 2005	25 Dec 2004
	£000	**£000**
Profit on ordinary activities before taxation for the period	**42,635**	88,404
Profit on ordinary activities before taxation for the period multiplied by the standard rate of corporation tax in the UK of 30% *(2004: 30%)*	**12,791**	26,521
Effects of:		
Movement on short-term timing differences	**1,147**	334
Expenditure not deductible for tax purposes	**879**	36
Depreciation in excess of capital allowances	**396**	317
Capital losses not provided for	**6,058**	-
Adjustments relating to prior years	**(7)**	(735)
Current period corporation tax charge	**21,264**	26,473

Factors that may affect future tax charges
It is expected that the effective rate of corporation tax will remain at around 31% due to the level of expenditure not deductible for tax purposes.

7. DIVIDENDS

	24 Dec 2005	25 Dec 2004
	£000	£000
Interim paid – 135 pence per share (2004: Nil)	**135,000**	-
Final paid – 42 pence per share (2004: Nil)	**42,000**	-
Total Dividend – 177 pence per share (2004: Nil)	**177,000**	-

8. TANGIBLE FIXED ASSETS

	Plant and machinery £000	Fixtures and fittings £000	Computer equipment £000	Total £000
Cost				
At 25 December 2004	1,626	36,082	5,015	42,723
Additions	34	4,468	1,190	5,692
Disposal	(81)	(897)	(2)	(980)
At 24 December 2005	1,579	39,653	6,203	47,435
Depreciation				
At 25 December 2004	1,062	12,974	3,592	17,628
Charge for the period	224	3,571	761	4,556
Disposals	(64)	(401)	(2)	(467)
At 24 December 2005	1,222	16,144	4,351	21,717
Net book value				
At 24 December 2005	**357**	**23,509**	**1,852**	**25,718**
At 25 December 2004	564	23,108	1,423	25,095

9. INVESTMENTS

	Shares 25 Dec 2004 £000	**Loans 25 Dec 2004 £000**	**Total 25 Dec 2004 £000**	Total 25 Dec 2004 £000
Investment In Subsidiary Undertakings				
Beginning of period	-	20,193	20,193	20,193
Write down in period	-	(20,193)	(20,193)	-
Investment In Subsidiaries - End of period	-	-	-	20,193

In the Group's press release of 1 December 2005, the Group announced it is to close its US pilot operation Howden Millworks. A closure programme for the 20 depots is in place and the group expect trading to cease by April 2006 and operations to cease by June 2006.

10. STOCKS

	24 Dec 2005 £000	25 Dec 2004 £000
Finished goods for resale	**54,823**	56,819

There is no material difference between the balance sheet value of stocks and their replacement costs.

11. DEBTORS

	24 Dec 2005 £000	25 Dec 2004 £000
Amounts falling due within one year:		
Trade debtors	**65,264**	63,888
Amounts owed by parent and fellow subsidiary undertakings	**108,609**	1,006,845
Prepayments and accrued income	**4,405**	3,517
Deferred taxation (see note 13, 14)	**895**	-
	179,173	1,074,250

12. CREDITORS

	24 Dec 2005 £000	25 Dec 2004 £000
Amounts falling due within one year:		
Trade Creditors	**4,479**	5,390
Corporation tax	**21,271**	27,208
Other taxes and social security	**30,301**	27,669
Accruals and deferred income	**13,008**	13,264
Amounts owed to parent and fellow subsidiary undertakings	**101,650**	959,020
	170,709	1,032,551

Pension costs of £564,000 were provided for at 24 December 2005 *(2004: £576,000)*.

13. PROVISIONS FOR LIABILITIES AND CHARGES

	Deferred taxation (See Note 14) £000
At 25 December 2004	**199**
Charged during the period	-
Utilised during the period	**(199)**
At 24 December 2005	-

14. DEFERRED TAXATION

The deferred taxation asset / (liability) included in debtors / provisions is analysed as follows :

	24 Dec 2005 £000	25 Dec 2004 £000
Accelerated capital allowances	**(1,372)**	(1,315)
Other timing differences	**2,267**	1,116
	895	(199)

15. SHARE CAPITAL

	24 Dec 2005 £000	25 Dec 2004 £000
100,000,000 authorised ordinary shares of £1.00 each	100,000	700
100,000,000 allotted, called up, fully paid ordinary shares of £1.00 each	100,000	627

16. RECONCILIATION OF MOVEMENT IN EQUITY SHAREHOLDERS' FUNDS

	Share Capital	Profit and Loss Reserve	Shareholders' Funds
	£'000	£'000	£'000
At 25 December 2004	627	155,304	155,931
Amount transferred from reserves	-	(154,534)	(154,534)
Shares issued	99,373	-	99,373
At 24 December 2005	**100,000**	**770**	**100,770**

17. CONTINGENT LIABILITIES

The Company is party to a group Value Added Tax (VAT) registration with other members of the MFI Group. It is jointly and severally liable for the VAT payable by those other group undertakings which, at 24 December 2005, amounted to £19.0m (*2004: £10.3m*).

Members of the group have assigned UK property leases in the normal course of business. Should the assignees fail to fulfil any obligations in respect of these leases, members of the Group may be liable for those defaults. The number of such claims arising to date has been small and the cost, which is charged to profit and loss as it arises, has not been material.

18. ULTIMATE PARENT COMPANY AND RELATED PARTY TRANSACTIONS

The Company's parent company is Orchardlight Ltd and the ultimate parent company and controlling entity is MFI Furniture Group Plc, both incorporated in Great Britain and registered in England and Wales.

The largest and smallest group in which the results of the Company are consolidated is that headed by MFI Furniture Group Plc. The consolidated accounts of this group are available to the public and can be obtained from the Registrar of Companies, Companies Registration Office, Crown Way, Maindy, Cardiff, CF14 3UZ.

The Company is exempt under FRS 8 from the requirement to disclose transactions with the group headed by MFI Furniture Group Plc on the grounds that it is a wholly owned subsidiary.

19. PENSIONS – FRS 17

The Company participates in the MFI Furniture Group Retirement Benefit Scheme. This is a defined benefit multi-employer scheme. The assets and liabilities of the scheme are held separately from those of the Group. The company is unable to identify its share of the underlying assets and liabilities of the scheme and accordingly accounts for the scheme as if it were a defined contribution scheme.

The Group has adopted FRS 17 "Retirement Benefits" in full with effect from 26 December 2004. On adopting FRS 17, the Group is required to include the assets and liabilities of these schemes on the Group balance sheet. Current service costs, curtailment and settlement gains and losses, and net financial returns are included in the profit and loss account in the period to which they relate. Actuarial gains and losses are included in the statement of total recognised gains and losses

The Group is required to show the effect of adopting FRS 17 retrospectively and so has restated its comparative figures. Full FRS 17 disclosures together with the restatements described above are given in the financial statements of MFI Furniture Group Plc.

Contributions to the scheme are based upon actuarial advice following the most recent valuation of the fund as at 6 April 2005 and upon pension costs across the group as a whole. Details of the most recent actuarial valuation can be found in the financial statements of MFI Furniture Group Plc.

The Company's pension charge for the year was £11,972,000 *(2004: £2,730,000)*. There was £564,000 of outstanding contributions at the period end *(2004: 576,000)*.

The valuation of the MFI Group Retirement Benefit Scheme showed that the scheme had a market value of assets of £412m at that time and that the actuarial value of those assets represented 58% of the benefits that had accrued to the members.

The principal actuarial assumptions used are a discount rate of 4.8% per annum, rate of salary increase of 3.9% per annum, rate of increase in pensions in payment (pre 6 April 1997) of 3.0%, rate of increase in pensions in payment (post 6 April 1997) of 2.9% and an inflation rate of 2.9%.

20. FINANCIAL COMMITMENTS

The Company's leases are contracted by MFI UK Limited and MFI Properties Limited with external suppliers. MFI UK Limited and MFI Properties Limited bear the liability for these leases, but charge these onto Howden Joinery as and when they are paid. Thus no liability is disclosed for in the accounts of the company, with MFI UK Limited bearing the liability.

21. POST BALANCE SHEET EVENTS

On 17 February 2006 the Group refinanced its medium-term debt and replaced it with a new 3.25 year secured facility. Howden Joinery Limited assets form part of the security for the debt.